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Bilateral Monopoly:

Bilateral monopoly refers to a market situation in which a single producer (monopolist) of a product faces a single buyer (monopsonist) of that product.

5.9 Duopoly

Duopoly is a special case of the theory of oligopoly in which there are only two sellers. Both the sellers are completely independent and no agreement exists between them. Even though they are independent, a change in the price and output of one will affect the other, and may set a chain of reactions. A seller may, however, assume that his rival is unaffected by what he does, in that case he takes only his own direct influence on the price.

5.9.1 Characteristics of Duopoly

1. Each seller is fully aware of his rival's motive and actions.
2. Both sellers may collude (they agree on all matters regarding the sale of the commodity).
3. They may enter into cut-throat competition.
4. There is no product differentiation.
5. They fix the price for their product with a view to maximising their profit.

5.10 Oligopoly

Oligopoly is a market situation in which there are a few firms selling homogeneous or differentiated products. Examples are oil and



gas. It is difficult to pinpoint the number of firms in 'competition among the few.' With only a few firms in the market, the action of one firm is likely to affect the others.

5.10.1 Features of Oligopoly

1. ***Few* large firms**

   Very few big firms own the major control of the whole market by producing major portion of the market demand.

2. ***Interdependence among firms***

   The price and quality decisions of a particular firm are dependent on the price and quality decisions of the rival firms.

3. ***Group behaviuor***

   The firms under oligopoly realise the importance of mutual co-operation.

4. ***Advertisement cost***

   The oligopolist could raise sales either by advertising or improving the quality of the product.

5. ***Nature of product***

   Perfect oligopoly means homogeneous products and imperfect oligopoly deals with heterogeneous products.

6. ***Price rigidity***

   It implies that prices are difficult to be changed. The oligopolistic firms do not change their prices due to the fear of rivals' reaction.